# Market feasibility assessment: Grade A warehousing park, Delhi NCR

Tarana Bansal | 29 October 2026 | Farukhnagar-Pataudi belt, Gurugram district | Public market data (JLL, Colliers) plus indicative cost inputs; replace cost inputs with broker and quantity-surveyor quotes before any decision. Amounts in INR crore (Cr) unless stated.

**Recommendation: conditional go.** Demand is strong and supply is not outrunning it in NCR, but the economics are thin. A 25-acre, 5.4 lakh sq ft park at Rs 1.8 Cr per acre and Rs 25 per sq ft per month earns a 9.0% yield on cost and a **12.2% unlevered IRR**: enough for a core-plus return, short of a 14% development-risk hurdle. The project clears 14% only if land costs **no more than Rs 1.23 Cr per acre**, or rents reach about Rs 28. Proceed to site-level diligence only with land at or below Rs 1.5 Cr per acre and at least 30% of phase 1 pre-leased before phase 2 starts. Land price, lease-up and build cost are the three biggest risks.

## 1. Market context

- **Demand is at record levels.** JLL recorded NCR net absorption of 9.8 million sq ft in 2025, an all-time high, with more than 70% in Grade A. Colliers shows NCR Grade A absorption of 9.3 million sq ft in January-September 2026 (+26%), with Q3 alone at 3.4 million (+89%).
- **Supply is tightening locally.** NCR added 6.6 million sq ft of Grade A in January-September 2026 (-27% year on year), below absorption. JLL put Grade A vacancy at 8.5% at end-2025 (14.4% in 2024) and expects it to stay under 10% for four years.
- **Rents and a national warning sign.** Farukhnagar and NH-48 rents are Rs 21-28 per sq ft per month, up nearly 30% in five years (Colliers). But national Grade A vacancy rose to 16% at September 2026 as supply outpaced demand, and 3PL occupiers are one-third of demand, so tenant concentration matters.

## 2. Bottom-up market sizing

| Layer | Definition and logic | Sq ft per year | First-year rent (Rs 25) |
|---|---|---|---|
| TAM | NCR Grade A leasing: Colliers January-September 2026 of 9.3 million sq ft, annualised (JLL 2025 net absorption of 9.8 million cross-checks) | 12.4 million | Rs 372 Cr |
| SAM | Share in the Farukhnagar and NH-48 / Gurugram belt: assumed 30% (sensitise 20-40%, i.e. 2.5-5.0 million) | 3.7 million | Rs 111 Cr |
| Serviceable | Deals of 200,000 sq ft or less, 63% of demand (deals above that are 37% nationally, Colliers): a multi-tenant park serves bays of 50,000-150,000 sq ft | 2.3 million | Rs 70 Cr |
| SOM | Park of 544,500 sq ft, 85% leased within three years of opening: about 154,000 sq ft a year, 6.6% of serviceable demand | 0.15 million | Rs 4.6 Cr |

**Read-across.** With roughly eight competing Grade A parks in the belt (assumption), a fair share is about 12.5% of serviceable demand; the park needs about half of that. Demand is therefore not the binding constraint. Return on cost is.

## 3. Project definition and unit economics

| Input | Base case | Basis |
|---|---|---|
| Site and coverage | 25 acres, 50% ground coverage: 544,500 sq ft leasable | Coverage near 50% is the usual yield-test assumption; assumption |
| Land | Rs 1.8 Cr per acre = Rs 45.0 Cr | Farukhnagar-Pataudi indicative Rs 1.0-2.5 Cr per acre (Sohna Rs 2.5-5.0 Cr); estimator and listing sources |
| Construction | Rs 1,750 per sq ft = Rs 95.3 Cr | Basic PEB with docks and fire Rs 1,300-1,900; Grade A Rs 1,850-2,600 (estimator sites); confirm GST treatment |
| Soft costs | 10% of construction = Rs 9.5 Cr | Approvals, design, project management, contingency; assumption |
| Total cost | Rs 149.8 Cr = Rs 2,751 per sq ft | Land + construction + soft costs, before financing costs |
| Rent and escalation | Rs 25 per sq ft per month, 4.5% a year | Within the Rs 21-28 band (Colliers); escalation is an assumption |
| Lease-up | Phase 1 opens year 2: 30%, then 70%, 85%, 90% occupancy | Assumption, tested against SOM above |

| Input | Base case | Basis |
|---|---|---|
| Leakage and exit | 8% of rent lost to non-recoverables and management; exit at 8.75% cap rate after 10 years, 1.5% sale costs | Assumptions |

| Output | Value |
|---|---|
| Stabilised net operating income (at today's rent, 90% occupied) | Rs 13.5 Cr |
| Yield on cost | 9.0% |
| Unlevered IRR (10 years, with exit) | 12.2% |
| Equity multiple, unlevered | 2.4x |
| Debt at 55% of cost (Rs 82.4 Cr, 9.5%, 15-year amortisation): annual debt service | Rs 10.5 Cr; DSCR at stabilisation 1.28x |
| Break-even occupancy (NOI covers debt service) | 70% |
| Maximum land price for a 12% / 14% unlevered IRR | Rs 1.87 Cr / Rs 1.23 Cr per acre |

## 4. Sensitivity: unlevered IRR by land price and rent

| Land, Rs Cr per acre | Rent Rs 22 | Rs 24 | Rs 25 (base) | Rs 26 | Rs 28 |
|---|---|---|---|---|---|
| 1.0 | 12.8% | 14.2% | 14.8% | 15.5% | 16.7% |
| 1.5 | 11.1% | 12.5% | 13.1% | 13.7% | 14.9% |
| 1.8 (base) | 10.3% | 11.6% | **12.2%** | 12.8% | 14.0% |
| 2.0 | 9.7% | 11.0% | 11.6% | 12.2% | 13.4% |
| 2.5 | 8.5% | 9.8% | 10.4% | 10.9% | 12.1% |
| 3.0 | 7.4% | 8.6% | 9.2% | 9.8% | 10.9% |

**Ranking of swing factors** (change in IRR): land price, about 1.2-1.5 points per Rs 0.5 Cr per acre; rent, about 1.2 points per Rs 2; construction cost, about 0.8-1.2 points per Rs 150 per sq ft; exit cap rate, about 0.5-0.7 points per 50-75 basis points.

## 5. Go / no-go and the three biggest risks

| Risk | Why it matters | Mitigation and trigger |
|---|---|---|
| 1. Land price and approvals | Largest swing factor: Rs 0.5 Cr per acre moves IRR by 1.2-1.5 points. Land is Rs 1.0-2.5 Cr in Farukhnagar-Pataudi but Rs 2.5-5.0 Cr near Sohna; zoning, change-of-land-use and title can add cost and delay. | Walk away above Rs 1.5 Cr per acre; buy only with clean title and approvals in hand; negotiate land in tranches tied to phase 1. |
| 2. Lease-up and rent | National Grade A vacancy is 16% and rising; 3PLs are one-third of demand, so one weak tenant segment hurts. Each Rs 1 of rent is about 0.6 points of IRR; break-even occupancy is 70%. | Pre-lease at least 30% of phase 1 before phase 2; design flexible 50,000-150,000 sq ft bays; stagger anchor lease expiries. |
| 3. Build cost and exit yield | Steel and cement volatility, fire-package scope and non-claimable GST can push cost above Rs 1,750; a weaker investor appetite widens the exit cap rate. | Fixed-price EPC with a stated fire and externals scope; stress at Rs 2,100 per sq ft (IRR 10.3%) and a 9.5% cap rate (11.5%). |

**What would change the call.** To *no-go*: land above Rs 2.0 Cr per acre, rents settling below Rs 24, or no anchor interest within six months. To *go*: land at Rs 1.5 Cr or below with Rs 26+ rents (13.7% IRR), or a build-to-suit anchor lease at Rs 27+.

## 6. Base-case cash flows (Rs Cr, unlevered)

| Year | 0 | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Capex | -47.9 | -51.0 | -51.0 | - | - | - | - | - | - | - | - |
| Net operating income | - | - | 2.3 | 11.0 | 13.9 | 15.4 | 16.1 | 16.9 | 17.6 | 18.4 | 19.2 |
| Exit proceeds | - | - | - | - | - | - | - | - | - | - | 226.3 |
| Net cash flow | -47.9 | -51.0 | -48.7 | 11.0 | 13.9 | 15.4 | 16.1 | 16.9 | 17.6 | 18.4 | 245.5 |

Land and construction are funded in years 0-2; phase 1 (half the area) opens in year 2 and the park is fully open from year 3, stabilised at 90% from year 5; the asset is sold at the end of year 10 on forward net operating income at an 8.75% cap rate. Income grows with the 4.5% escalator.

## 7. What I would validate next

- Replace estimator-site cost inputs with two broker land quotes in the belt and a quantity-surveyor estimate for a Grade A specification, including GST treatment and the fire package.
- Interview five to ten occupiers (3PL, FMCG, auto ancillary, e-commerce) on required bay size, rent tolerance and lease terms, and test the 30% SAM share with broker transaction data.
- Map competing Grade A parks within 30 km, with their vacancy and under-construction area, to replace the assumed count of eight.
- Add a levered case with real lender terms, and a downside case combining 16% vacancy, Rs 22 rent and a 9.5% cap rate.

**Sources and limits.** JLL via Real Estate Asia (NCR 2025); Colliers India via PTI/The Tribune (Q3 2026) and Whalesbook (rents, clusters); estimator sites for construction, land and the yield test (calcguru.in, constructionestimatorindia.com). Land, construction, escalation, leakage, cap rate and exit are indicative assumptions, not quotes. Desk analysis, not a valuation or investment advice.